

AS Business 9609 - Complete Question Bank

Cambridge International AS Level Business (9609). Syllabus 2026-2028. Prepared for the Oct/Nov 2026 exam. Answer every question in this booklet and you will have covered the entire AS syllabus. Model answers are in the separate Answers booklet.

Marks in brackets guide the depth expected. [K]=knowledge, [App]=apply to context, [An]=analysis, [Ev]=evaluation/judgement, [Calc]=calculation.

TOPIC 1: Business and its Environment

1.1.1 The nature of business activity

1. State the main purpose of business activity. [2] [K]
2. Define the four factors of production and give one example of each. [4] [K]
3. State the reward earned by each factor of production. [4] [K]
4. Define "added value" and state the formula used to calculate it. [3] [K]
5. Explain two ways a business could add value to its products. [4] [An]
6. Explain the economic problem of scarcity and why it forces choice. [4] [An]
7. Define opportunity cost and give one business example. [3] [App]
8. Explain what is meant by a "dynamic business environment" and give two examples of change a business must respond to. [4] [An]
9. Analyse two reasons why a new business might fail in its first year. [6] [An]
10. Distinguish between a local, national, international and multinational business. [4] [K]

1.1.2 Entrepreneurs and intrapreneurs

11. State four qualities needed by a successful entrepreneur. [4] [K]
12. Distinguish between an entrepreneur and an intrapreneur. [3] [K]
13. Explain the role of intrapreneurship in the ongoing success of an established business. [5] [An]
14. Analyse three barriers to entrepreneurship a person may face when starting a business. [6] [An]
15. Distinguish between business risk and uncertainty, using examples. [4] [App]
16. Evaluate the importance of business enterprise to the economic development of a developing country. [10] [Ev]

1.1.3 Business plans

17. Define a business plan and state its main purpose. [3] [K]
18. State five key elements you would expect to find in a business plan. [5] [K]
19. Explain two benefits to an entrepreneur of writing a business plan. [4] [An]
20. Evaluate whether a detailed business plan guarantees the success of a start-up. [10] [Ev]

1.2.1 Economic sectors

21. Define the primary, secondary, tertiary and quaternary sectors, with one example each. [4] [K]
22. Distinguish between the public sector and the private sector. [2] [K]
23. Explain two reasons why the relative importance of the secondary sector has declined in many

developed economies. [4] [An]

24. Analyse two consequences for an economy of de-industrialisation. [6] [An]

1.2.2 Business ownership

25. Distinguish between limited and unlimited liability, and explain why the difference matters. [4] [K]

26. State two advantages and two disadvantages of operating as a sole trader. [4] [K]

27. Explain two differences between a private limited company (Ltd) and a public limited company (Plc). [4] [An]

28. Explain how a franchise works and give one benefit to the franchisee and one to the franchisor. [4] [An]

29. Explain the aims of a social enterprise and how it differs from a typical private company. [4] [K]

30. Analyse the advantages and disadvantages to a growing business of changing from an Ltd to a Plc. [8] [An]

31. A joint venture and a co-operative are both forms of ownership. Explain the key feature of each. [4] [K]

32. Evaluate the most appropriate form of ownership for two friends opening a small restaurant with limited savings. [10] [Ev/App]

1.3 Size of business

33. State four methods of measuring the size of a business. [4] [K]

34. Explain why using number of employees can be a misleading measure of size for a capital-intensive firm. [4] [An]

35. State two advantages and two disadvantages of being a small business. [4] [K]

36. Analyse two strengths and two weaknesses of a family business. [6] [An]

37. Explain two reasons why small businesses are important to an economy. [4] [An]

1.3.3 Business growth

38. Distinguish between internal (organic) growth and external growth. [3] [K]

39. Define and give an example of: horizontal integration, backward vertical integration, forward vertical integration, and conglomerate diversification. [8] [K]

40. Distinguish between a friendly merger and a hostile takeover. [2] [K]

41. Analyse the possible impact of a takeover on two different stakeholder groups. [6] [An]

42. Explain two reasons why a merger or takeover may fail to achieve its objectives. [4] [An]

43. Distinguish between a joint venture and a strategic alliance as methods of external growth. [3] [K]

44. Evaluate whether organic growth or growth by takeover is the better strategy for a medium-sized manufacturer. [12] [Ev]

1.4 Business objectives

45. State three objectives a business in the private sector might have. [3] [K]

46. Explain two reasons why setting objectives is important for a business. [4] [An]

47. Explain the "triple bottom line" and how it relates to corporate social responsibility (CSR). [5] [K]

48. Explain the relationship between mission statement, aims, objectives, strategy and tactics. [5] [K]

49. State what each letter of SMART stands for and explain why SMART objectives are useful. [5] [K]

50. Explain the stages of business decision-making and the role objectives play in them. [6] [An]

51. Explain how and why a business objectives might change as it moves from start-up to being well established. [4] [An]

52. Analyse how acting ethically might influence a business objectives and its profits. [6] [An]

1.5 Stakeholders

53. Define "stakeholder" and give two examples of internal and two of external stakeholders. [4] [K]

54. Explain the roles, rights and responsibilities of employees as stakeholders. [4] [K]

55. Explain how a decision to relocate production overseas could affect three different stakeholder groups. [6] [App/An]

56. Explain why and how a business should be accountable to its stakeholders. [4] [An]

57. Analyse how conflict might arise between shareholders and employees when a business tries to cut costs. [6] [An]

58. Evaluate the view that a business should always put the interests of its shareholders first. [12] [Ev]

TOPIC 2: Human Resource Management

2.1 HRM, workforce planning, recruitment

59. Explain the role of HRM in meeting the objectives of a business. [4] [An]

60. Define a workforce plan and explain two reasons a business needs one. [4] [K]

61. [Calc] A business had 15 employees leave during the year and employed an average of 120 staff. Calculate the labour turnover. [2] [Calc]

62. Explain two implications for a business of a high rate of labour turnover. [4] [An]

63. Distinguish between a job description and a person specification. [2] [K]

64. Explain two advantages of internal recruitment and two of external recruitment. [4] [An]

65. State four methods a business could use to select the best candidate from a shortlist. [4] [K]

66. Define an employment contract and state two things it would contain. [3] [K]

2.1.4-2.1.7 Redundancy, welfare, training, relations

67. Distinguish between redundancy and dismissal. [3] [K]

68. Distinguish between voluntary and involuntary redundancy, and between fair and unfair dismissal. [4] [K]

69. Explain the term "work-life balance" and how improving it could benefit a business. [4] [An]

70. Analyse the benefits to a business of a diverse and equal workplace. [6] [An]

71. Distinguish between induction, on-the-job and off-the-job training. [3] [K]

72. Analyse the impact on a business of investing heavily in training its workforce. [6] [An]

73. Explain how employee development can encourage multi-skilling and flexibility. [4] [An]

74. Explain the role of a trade union in collective bargaining and one impact on the employer. [4] [An]

2.2 Motivation

75. Explain why it is important for a business to motivate its employees. [4] [An]

76. Outline the main idea of F.W. Taylor scientific management and how workers should be paid according to him. [4] [K]

77. Explain Elton Mayo human relations theory and the Hawthorne effect. [4] [K]

78. Draw and label Maslow hierarchy of needs and explain how a manager could use it to motivate staff. [6] [K/An]
79. Explain Herzberg two-factor theory, distinguishing between hygiene factors and motivators. [5] [K]
80. Outline McClelland three needs and Vroom expectancy theory. [5] [K]
81. Define and give an example of: piece rate, commission, profit sharing, performance-related pay, and fringe benefits. [5] [K]
82. Explain three non-financial methods of motivating employees. [6] [An]
83. Evaluate whether financial or non-financial motivators are more effective for motivating skilled workers. [12] [Ev]

2.3 Management

84. State the four traditional functions of management. [4] [K]
85. Explain the difference between the ideas of Fayol and Mintzberg on the role of managers. [4] [K]
86. Describe autocratic, democratic, laissez-faire and paternalistic management styles. [4] [K]
87. Explain McGregor Theory X and Theory Y and how each affects management style. [5] [An]
88. Evaluate the most appropriate management style for a business facing a sudden financial crisis. [10] [Ev]

TOPIC 3: Marketing

3.1 The nature of marketing

89. Define marketing and state two possible marketing objectives. [3] [K]
90. Explain the link between marketing objectives and corporate objectives. [4] [An]
91. State two factors that influence the demand for a product and two that influence its supply. [4] [K]
92. Explain how a fall in price and a rise in consumer incomes could each affect demand. [4] [An]
93. Distinguish between product orientation and customer (market) orientation. [3] [K]
94. [Calc] A business sells \$4m of goods in a market worth \$50m. Calculate its market share. If the market grew from \$50m to \$55m, calculate the market growth. [4] [Calc]
95. Explain two implications for a business of a falling market share in a growing market. [4] [An]
96. Explain two ways marketing for a B2B product might differ from marketing for a B2C product. [4] [An]
97. Compare the features of mass marketing and niche marketing. [4] [K]
98. Analyse the advantages and disadvantages of niche marketing for a small business. [6] [An]
99. Explain the three main methods of market segmentation with an example of each. [6] [K]
100. Analyse the benefits and costs of customer relationship marketing (CRM). [6] [An]

3.2 Market research

101. State two purposes of market research. [2] [K]
102. Distinguish between primary and secondary research and give two examples of each. [4] [K]
103. Explain the usefulness and one limitation of primary research data. [4] [An]
104. Explain why a business uses sampling and two limitations of sampling. [4] [An]
105. Distinguish between quantitative and qualitative data. [2] [K]
106. Explain two factors that affect the reliability of market research data. [4] [An]

3.3 The marketing mix

107. State the 4Ps of the marketing mix. [4] [K]
108. Distinguish between goods and services, and between tangible and intangible product attributes. [4] [K]
109. Explain the terms "product differentiation" and "unique selling point (USP)". [4] [K]
110. Draw the product life cycle and label its stages. Explain two extension strategies. [6] [K/An]
111. Explain the four categories of the Boston Matrix and how a business would treat a product in each. [8] [K/An]
112. Explain the objectives and usefulness of the following pricing methods: penetration, skimming, price discrimination, dynamic, psychological, cost-based, competitive. [8] [K]
113. Explain the difference between advertising, sales promotion and direct promotion. [6] [K]
114. Analyse two developments in digital promotion and their benefits to a business. [6] [An]
115. Explain the role of packaging and branding in promotion. [4] [An]
116. Explain two channels of distribution and the difference between physical and digital distribution. [4] [K]
117. Evaluate the marketing mix a business should use when launching a new premium smartphone. [12] [Ev/App]

TOPIC 4: Operations Management

4.1 The nature of operations

118. Explain the transformational process using the terms inputs, process and outputs. [4] [K]
119. Explain how operations can add value to a product. [3] [An]
120. Distinguish between efficiency, effectiveness, productivity and sustainability. [4] [K]
121. [Calc] A factory produces 12,000 units per week with 40 workers. Calculate labour productivity per worker. [2] [Calc]
122. Analyse the impact on a business of introducing measures to make operations more sustainable. [6] [An]
123. Compare the benefits and limitations of capital-intensive and labour-intensive operations. [6] [An]
124. Explain the difference between job, batch, flow and mass customisation production. [8] [K]
125. Explain two problems a business may face when changing from batch to flow production. [4] [An]

4.2 Inventory management

126. State the three types of inventory a manufacturer holds. [3] [K]
127. Explain two costs and two benefits of holding inventory. [4] [An]
128. Define buffer inventory, re-order level and lead time. [3] [K]
129. Using an inventory control chart, explain what happens to stock levels between deliveries. [4] [An]
130. Explain the importance of supply chain management to a business. [4] [An]
131. Distinguish between JIT and JIC inventory management and analyse the impact of adopting JIT. [8] [An]

4.3 Capacity utilisation and outsourcing

132. [Calc] A hotel has 200 rooms and on average 150 are occupied each night. Calculate its capacity

utilisation. [2] [Calc]

133. Explain two problems of operating at very low capacity utilisation and two of operating at 100%. [4] [An]

134. Explain two methods a business could use to improve its capacity utilisation. [4] [An]

135. Analyse the benefits and drawbacks of outsourcing part of a business operations. [6] [An]

TOPIC 5: Finance and Accounting

5.1 Business finance

136. Explain why a business needs finance to start up, to grow, and to survive. [6] [K]

137. Distinguish between a short-term and a long-term need for finance. [3] [K]

138. Explain the difference between cash and profit, and why a profitable business can still fail. [5] [An]

139. Distinguish between bankruptcy, liquidation and administration. [3] [K]

140. [Calc] A business has current assets of \$80,000 and current liabilities of \$55,000. Calculate its working capital and comment on it. [3] [Calc]

141. Explain how a business could better manage its trade receivables and trade payables. [4] [An]

142. Distinguish between capital expenditure and revenue expenditure with examples. [4] [K]

5.2 Sources of finance

143. Explain how the form of business ownership affects the sources of finance available. [4] [An]

144. List four internal and six external sources of finance. [5] [K]

145. Explain the following sources: debt factoring, sale and leaseback, venture capital, crowdfunding, micro-finance, trade credit. [6] [K]

146. Explain four factors that influence a business choice of source of finance. [4] [An]

147. Recommend and justify a suitable source of finance for (a) a sole trader buying a \$3,000 laptop and (b) a Plc funding a \$40m factory. [6] [Ev/App]

5.3 Cash flow

148. Define a cash flow forecast and state two reasons a business prepares one. [3] [K]

149. [Calc] In March, a business has an opening balance of \$5,000, cash inflows of \$22,000 and cash outflows of \$26,000. Calculate the net cash flow and the closing balance. This becomes the opening balance for April. [4] [Calc]

150. Explain three methods a business could use to improve its cash flow. [6] [An]

5.4 Costs

151. Distinguish between fixed, variable, direct and indirect costs, with an example of each. [4] [K]

152. [Calc] Fixed costs are \$20,000, variable cost per unit is \$6, and 5,000 units are produced. Calculate total cost and average cost per unit. [4] [Calc]

153. Distinguish between full costing and contribution costing. [4] [K]

154. Explain the difference between contribution and profit. [3] [K]

155. [Calc] Selling price is \$15, variable cost per unit is \$9, fixed costs are \$30,000. Calculate contribution per unit, and the profit if 8,000 units are sold. [4] [Calc]

156. Explain how contribution costing is used to make a special order decision. [5] [An]

157. Explain two limitations of contribution costing. [4] [An]

5.4.4 Break-even analysis

158. Define break-even and state the formula for the break-even level of output. [3] [K]

159. [Calc] A firm has fixed costs of \$48,000, sells at \$20 per unit and has variable costs of \$12 per unit. Calculate: (a) contribution per unit, (b) break-even output, (c) the margin of safety if current output is 8,000 units, (d) the profit at 8,000 units. [6] [Calc]

160. Explain what the margin of safety tells a business. [3] [An]

161. Explain two uses and two limitations of break-even analysis. [6] [An]

5.5 Budgets and variances

162. Define a budget and explain two uses of budgets to a business. [4] [K]

163. Explain the difference between incremental, flexible and zero-based budgeting. [6] [K]

164. Explain two benefits and two drawbacks of using budgets. [4] [An]

165. Distinguish between a favourable and an adverse variance. [3] [K]

166. [Calc] Budgeted sales revenue was \$60,000 but actual revenue was \$54,000. Budgeted costs were \$40,000 but actual costs were \$37,000. Calculate each variance and state whether it is favourable or adverse. [4] [Calc]

167. Evaluate whether budgeting always improves the performance of a business. [10] [Ev]

END OF QUESTION BANK - Total 167 questions covering the full AS syllabus.